Summing up

When we face a problem in public policy, it is important to assess how difficult it will be, to build the requisite state capacity. Four factors shape this:

1. *Transaction intensity*: If something involves a large number of transactions, by a large number of front-line civil servants, it is harder.
2. *Discretion*: If something involves more discretion in the hands of the civil servant, it is harder.
3. *Stakes*: If there are high stakes, it is harder.
4. *Secrecy*: When there is greater secrecy, it is harder.

Monetary policy is easy while financial regulation is hard because the latter involves a larger number of transactions, a greater use of discretion, high stakes and greater secrecy.

Complexity in this four-dimensional space is not immutable. We can often undertake actions that reduce the complexity in some of these dimensions or trade off complexity in one dimension for another dimension.

The four hardest problems are the criminal justice system, the judiciary, the tax system and the financial regulation. They suffer from high transactions, high discretion, high stakes and high secrecy.

If a government organization is asked to suddenly achieve capability on a difficult problem, it will collapse in an organizational rout. A natural way to sequence the construction of state capacity is to first start with an easier problem, to achieve success, and then escalate the complexity. At an early stage in the republic, it will help to reduce discretion, reduce secrecy and most importantly, reduce the stakes. At first, agencies should be given low powers to investigate and the punishments that can be awarded should be low. This will create better conditions for achieving state capacity.